

April Labour Force: Easter accentuates genuine weakening

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By Ryan Wells

Economist, Westpac

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Employment: –18.6k (from +23.3k). Unemployment Rate: 4.5% (from 4.3%). Participation Rate: 66.7% (from 66.8%).



Click here for:  **Westpac Chart Pack – April Labour Force (PDF 3MB)**

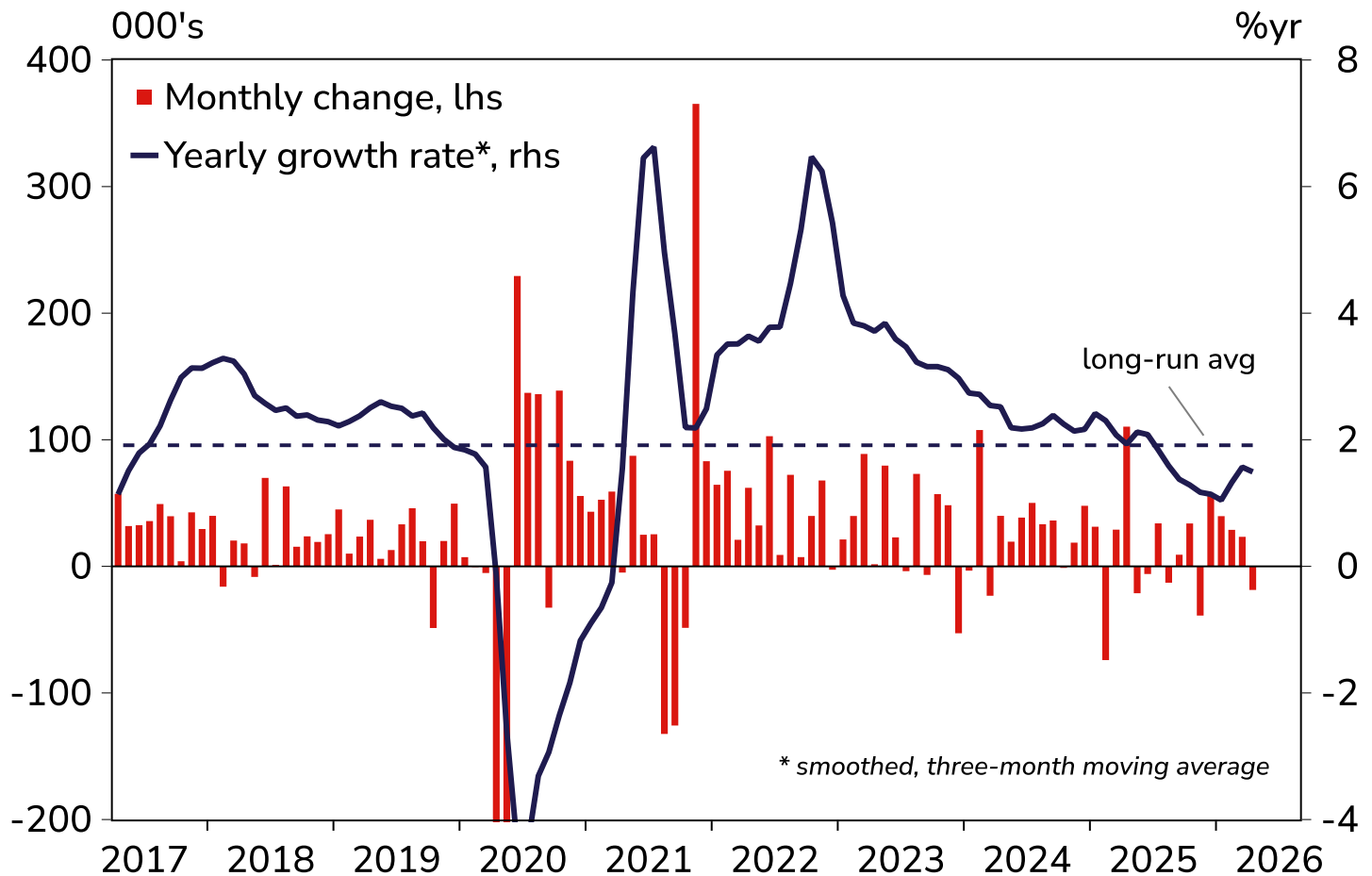
- April's data surprised to the downside: employment fell by 18.6k, the participation rate ticked down slightly to 66.7%, and the unemployment rate jumped up from 4.3% to 4.5%.
- Some caution is warranted in interpreting today's data, as there is some 'abnormal' seasonality associated with the timing of Easter. Also, the downside surprise can be fully explained by the youth cohort (15–24-year-olds), where employment collapsed 56.4k and the unemployment rate shot up +0.9ppts.
- These bits of noise and seasonality should wash out with May's data, providing a clearer read on underlying momentum. That said, today's result was still genuinely weaker than expected.
- We expect the bulk of the labour market softening to arise in the second half of this year, once the impact of the Middle East shock and interest rate rises have had more time to reverberate throughout the wider economy.
- Our forecasts embody a higher peak and slower decline in oil prices coupled with a faster pass-through of this shock throughout the domestic economy, which we expect will cause a faster rise in unemployment compared to the latest forecasts from Treasury and the RBA.
- Our call for the RBA to pause in its June policy meeting is now high-conviction, and the chance that the RBA waits even longer is non-zero. Still, most immediate and pressing concern for the RBA is inflation. We continue to expect that the RBA will resume raising the cash rate when the size and pace of pass-through of the energy price shock is revealed.

Genuinely weaker, with 'abnormal' seasonality and noise

The April Labour Force Survey (LFS) was genuinely weaker than expected. Employment fell by 18.6k in the month – we were anticipating a modest lift of +10k, compared to the market consensus of +15k. This decline halt the nascent uptrend in employment growth that had been forming earlier in the year, with the three-month average pace ticking down from 1.6%yr to 1.5%yr, and the employment-to-population ratio falling –0.2ppts to 63.7%.

While the participation rate nudged down 0.1ppt to 66.7%, the decline in employment was more than enough to lift the unemployment rate from 4.3% to 4.5% – the highest since the 'delta' COVID-19 outbreak in late-2021.

Nascent uptrend in employment growth halted



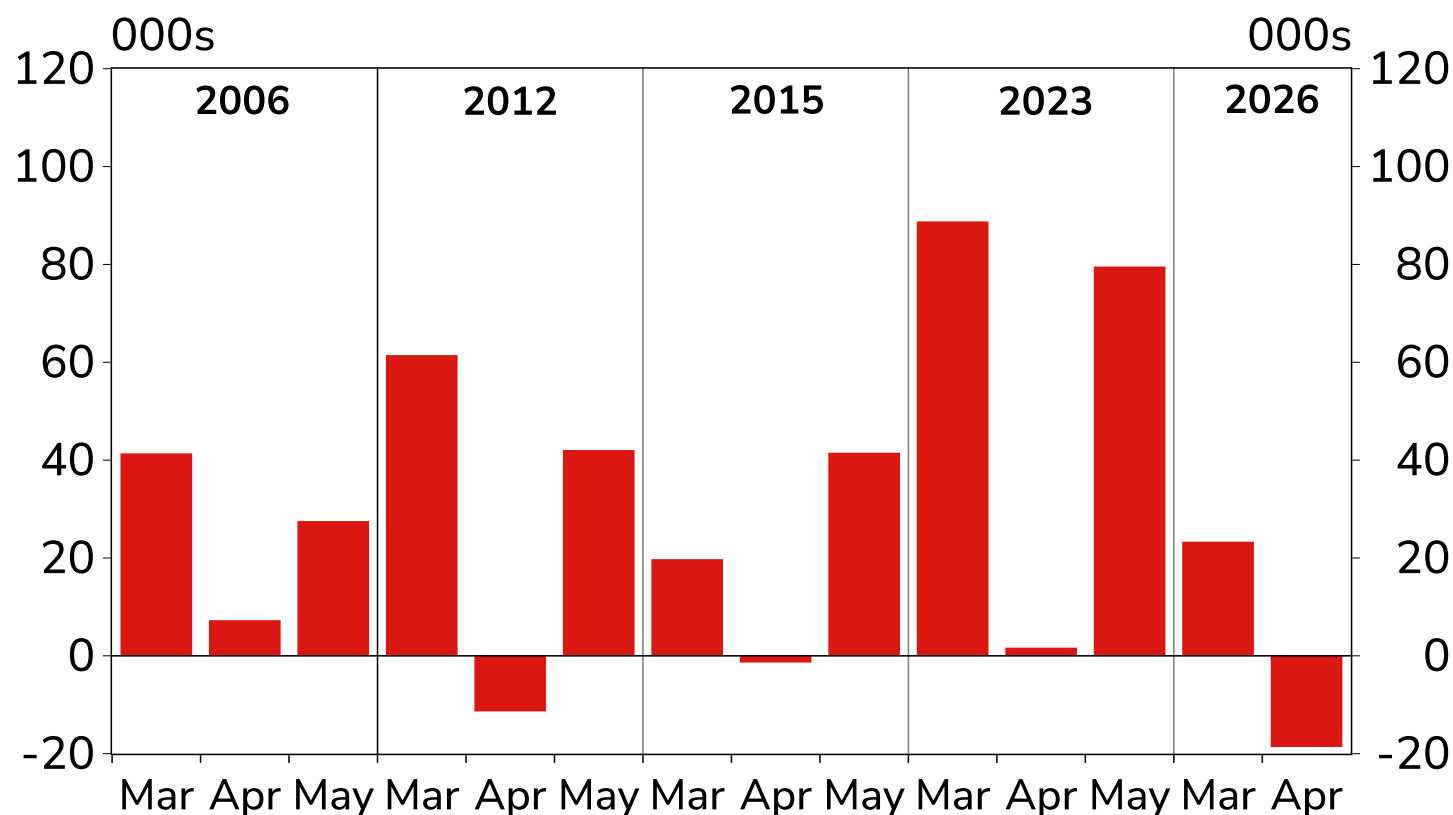
However, some caution is warranted in interpreting this data, because there is some 'abnormal' seasonality in the April LFS this year. As we discussed in our preview, the April LFS typically does not fully capture the Easter long weekend – often missing both Good Friday and Easter Monday – and seasonal factors are calibrated accordingly. This year, however, is one of the rare cases where the survey fully overlaps Easter. This effectively means that there is a bit more holiday-related softness captured in the raw data that is not fully removed by seasonal adjustment.

When this has happened in the past, we usually see weaker employment in April, followed by a rebound in May, as seen in the chart below. Moves in other indicators, like unemployment and participation, are less clear-cut, but we should nonetheless be aware that there is this element of 'abnormal' seasonality in the mix.

Today's downside surprise can also be fully explained by the youth cohort (15–24-year-olds), where employment collapsed by 56.4k and the unemployment rate jumped a staggered +0.9ppts. Moves of this scale in this cohort are usually very noisy. These effects should wash out with May's data, providing a clearer read on underlying momentum.

Employment Change in 'Full Overlap' Years

Years April LFS Covers Good Friday & Easter Monday



Source: ABS, Macrobond, Westpac Economics

Shock in train, labour market further down the line

But by the same token, today's data was genuinely softer than the 'abnormal' seasonality or other sources of noise can explain fully.

We are starting to see some early signs of strain emerging in the broader economy, predominately in survey-based measures. Businesses report that a surge in cost pressures is being rapidly passed through to prices, and at the same time consumers feel a deep sense of pessimism that is reminiscent of the scars inflicted by the post-pandemic cost-of-living shock. On spending, our card tracker is already showing that the higher cost of essentials, like fuel and electricity, is starting to crowd out discretionary spending, particularly in services.

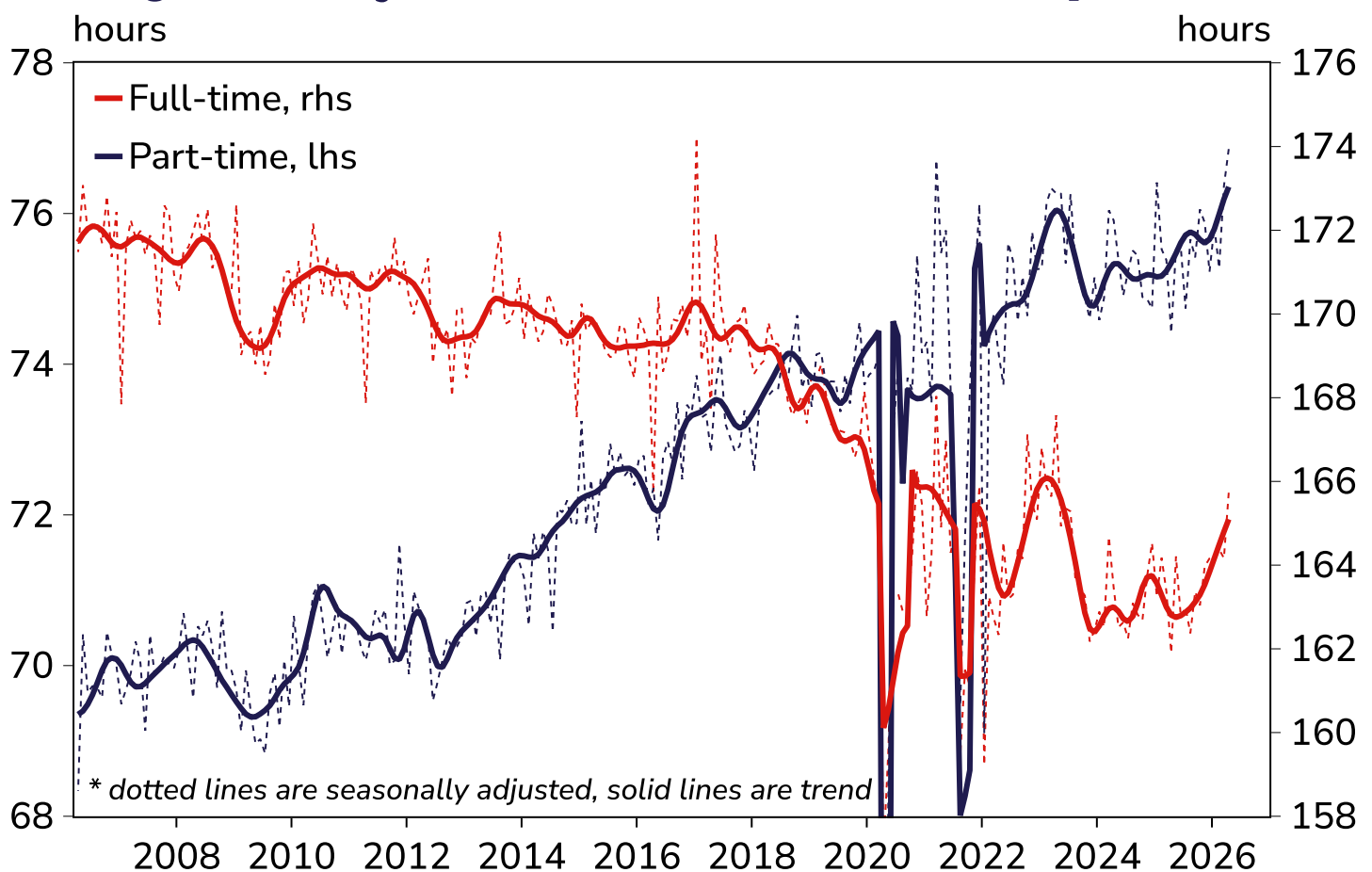
The shock associated with the Middle East conflict and recent interest rate rises is almost certainly in train, and it will still take time to fully work its way through household spending, into profit margins, to eventually impact decisions around investment and staffing further down the line. Some, but not all, of today's weakness may reflect this emerging dynamic.

We are still monitoring the detail closely for clearer signs of emerging weakness, and one such area is hours worked. During periods of sluggish growth, employers will reduce labour demand but try to retain flexibility – this can be achieved by reducing the average number of hours offered, rather than shed staff outright.

This is where today's data threw up a bit of a surprise: despite a fall in employment, average hours worked managed to increase substantially, up 0.9%, and the underemployment rate, which captures people looking to work more hours, dipped to 5.8%. Again, there is likely some residual seasonality in the mix here – like 2023, where existing workers were simply taking less leave than usual – but there is also a deeper connection to labour supply.

This topic was analysed in a recent  IMF working paper (co-authored by an RBA staff member), which found that labour supply is responsive to tighter monetary policy settings during periods of high inflation – something that has often been neglected in traditional policy analysis. So, at this early stage of the cost-of-living shock, workers seek more hours to buffer against these pressures, and employers may have some capacity to offer those hours. However, as the shock continues to materialise and demand weakens, we may start to see employers reduce the number of hours worked.

Average monthly hours worked: full-time and part-time



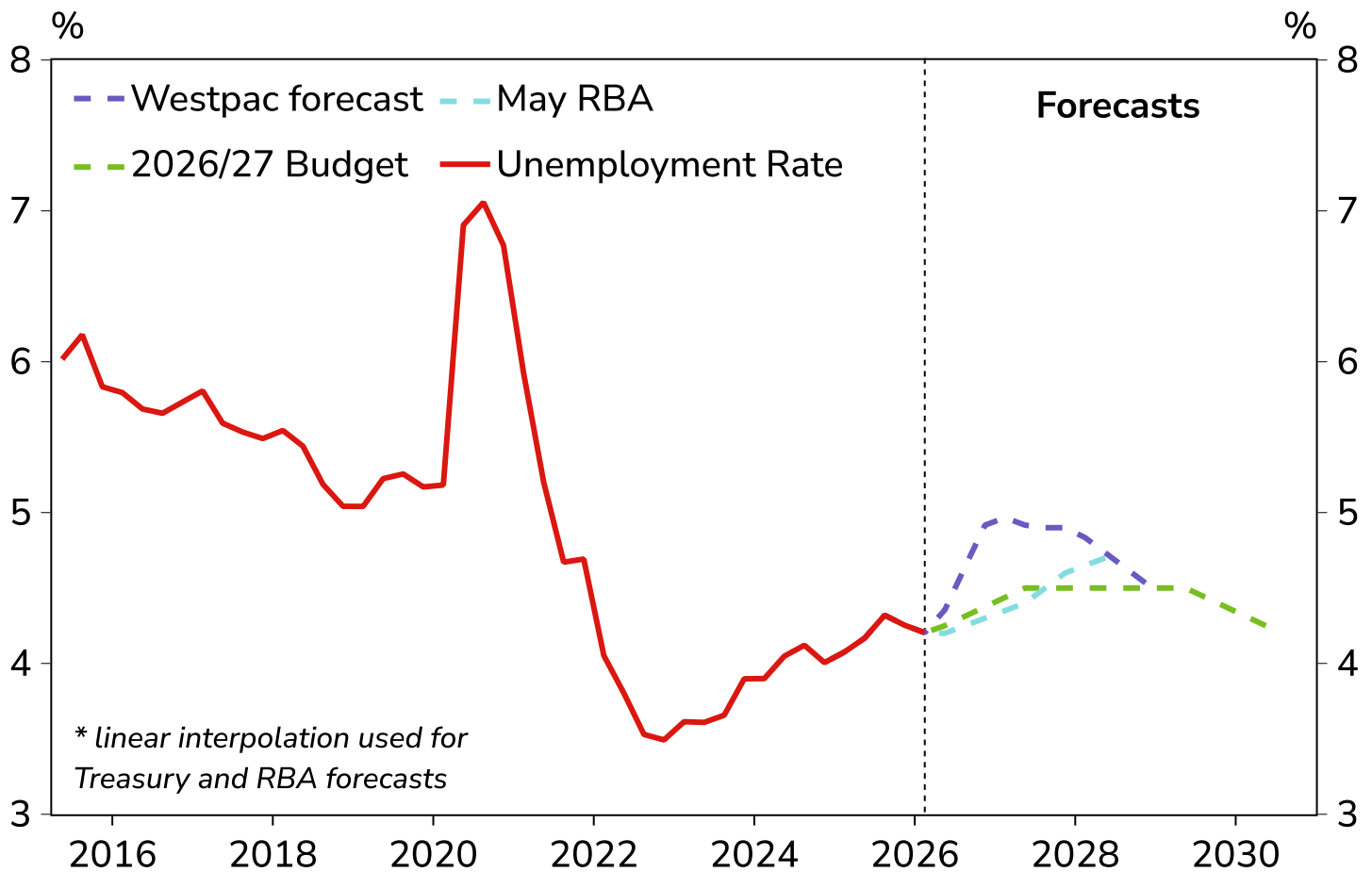
Source: ABS, Macrobond, Westpac Economics

When will the labour market start weakening more visibly?

We expect the bulk of the labour market softening to arise in the second half of this year, once the impact of the Middle East shock and interest rate rises have had more time to reverberate throughout the wider economy. We are forecasting the unemployment rate to lift to a quarter-average of 5% in early 2027, driven by slower hiring rather than active labour shedding, with employment growth staying slightly positive throughout (but lagging growth in the total labour force).

Our forecasts embody a higher peak and slower decline in oil prices coupled with a faster pass-through of this shock throughout the domestic economy, which we expect will cause a faster slowdown in economic growth and rise in unemployment compared to the latest forecasts from Treasury and the RBA. Another point of difference between the RBA and our forecasts is that they have a much more pessimistic view on labour force participation, hence why they see a much more gradual rise in unemployment compared to us.

Unemployment Rate (Quarterly Average)



Source: ABS, Australian Department of the Treasury, RBA, Macrobond, Westpac Economics

What does this mean for the RBA?

At its last decision, the RBA characterised the labour market as “somewhat tight”, though it rightly tweaked its language by removing the mention of the labour market having “tightened a little recently” – the unemployment rate falling to 4.1% around the turn of the year was clearly temporary.

Today’s data paints a very different picture on the surface, but the RBA will know that some of this weakness captures an ‘abnormal’ seasonality with Easter, and so it will expect some payback in the May LFS update once this effect washes out.

Our call for the RBA to pause in its June policy meeting is now high-conviction, and the chance that the

RBA waits even longer is non-zero. Ultimately, though, the most immediate and pressing concern for the RBA is inflation. We continue to expect that the RBA will resume raising the cash rate when the size and pace of pass-through of the energy price shock is revealed.

Changes to the LFS

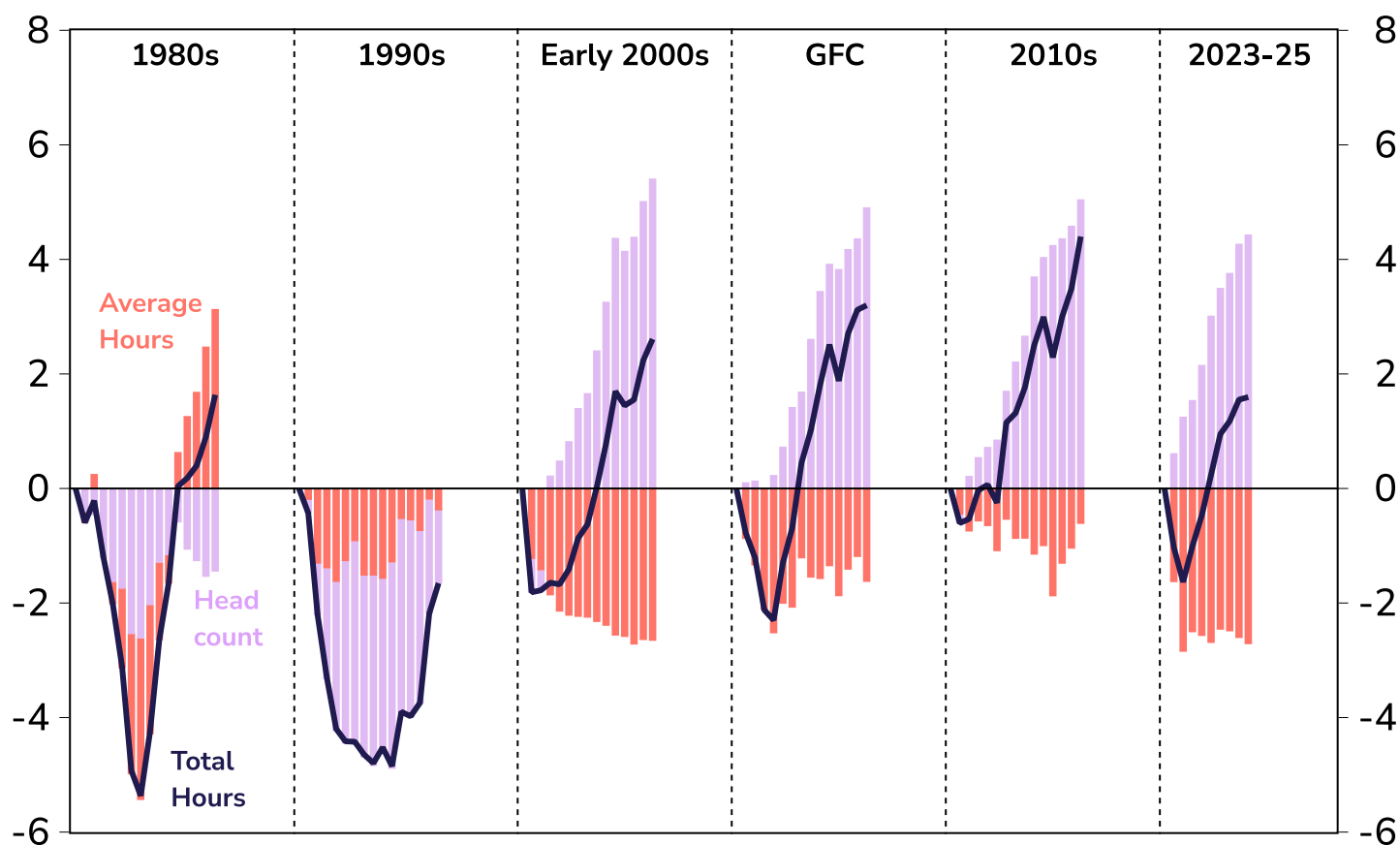
The ABS have introduced some changes to the design, content and systems surrounding the collection of the LFS, as part of their work to modernise the survey. Over the next four months, the LFS will be in a “transition period”. This does not impact the headline statistics that inform our view of key trends nor our ability to assess the degree of tightness in the labour market.

However, some of the supplementary data products used for more specific insights have been ceased, put on hold, or moved to supplementary surveys that are conducted less frequently. The complete list of changes to tables can be found.

During the transition, the release of the survey has been pushed back by a week. In doing so, the ‘headline’ and ‘detailed’ releases have been consolidated into one, rather than splitting them over two weeks. Later this year, the ABS plans to publish another article confirming the final survey outputs after the transition is complete, from the September 2026 survey onwards.

Labour market downturns

Cumulative change in total hours worked (%)



Source: ABS, Macrobond, Westpac Economics

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